

eight bonds at that time, together with the sale of 100 shares of stock at 66, would have subsequently shown no less than \$3,200 profit, for the stock sold down to 26 with the bonds at 82. On the other hand, no matter how much higher the stock might have gone, the loss on this deal was absolutely limited to \$400—the difference between 66 and 70. In this case, however, the temptation was to buy the bonds, and to wait for the stock to go a little higher before selling. Alas! the wait would have been in vain.

PREFERRED STOCKS

Convertible preferred stocks present the same opportunities for hedging operations as do the bonds. A current example is Gilliland Oil preferred, which is exchangeable at any time for twice as many shares of common. On January 15, the preferred could have been bought at 100 and the common sold at 49. The maximum loss, in case of a great advance of the common, would have been two points per share of preferred, which in fact would have been made up by the \$2 dividend coming off the latter on February 2. As it happened, two days later the common was down to 43, while the preferred was actually higher at 101. Thus on a hundred shares of preferred and two hundred common, there was a chance for \$1,300 gross profit in two days, with negligible risk.

If someone with a little nerve had sold Pierce Arrow at 99 against a purchase of the preferred at 110, his courage would have been well rewarded. Yet his very greatest loss could not have exceeded eleven points, since the preferred is exchangeable for common, share for share—and in addition had the advantage of an 8 per cent dividend against nothing on the common. There is today a difference of about thirty-five points between the two issues, so that this not especially risky operation would now show a profit of well over twenty points.